ASSISTANT PROFESSOR EXAM — 2024

Economics • Second Paper

UNIT 7

International Economics

अंतर्राष्ट्रीय अर्थशास्त्र

1. Theories of International Trade — Empirical Verification & Relevance; Terms of Trade; Tariff, Quota & Dumping

2. Balance of Payments — Definition, Types, Importance; Current & Capital Account

3. Theories of Foreign Exchange Rate; Exchange Trading, Arbitrage & Hedging; Foreign Trade Multiplier

4. Foreign Trade Reforms & Liberalisation; International Capital Movement

5. Importance of Trade, Two-Gap Analysis, Prebisch-Singer & Myrdal, Gains of Developing Countries; G-20, IBRD, WTO & IMF

Hinglish detailed notes • 16 diagrams • numerical examples • latest FY 2025-26 data

SECTION 1 — Theories of International Trade / अंतर्राष्ट्रीय व्यापार के सिद्धांत

International trade ka matlab hai do ya adhik देशों ke beech goods aur services ka exchange. Domestic trade se yeh isliye alag hai kyunki yahan **factor immobility** (labour-capital देशों ke beech aasani se nahi move karte), **alag currencies**, **alag trade policies** aur **transport costs** hote hain. Classical economists ne isi 'why nations trade' question ka jawab dhundha.

1.1 Adam Smith — Absolute Advantage Theory (1776)

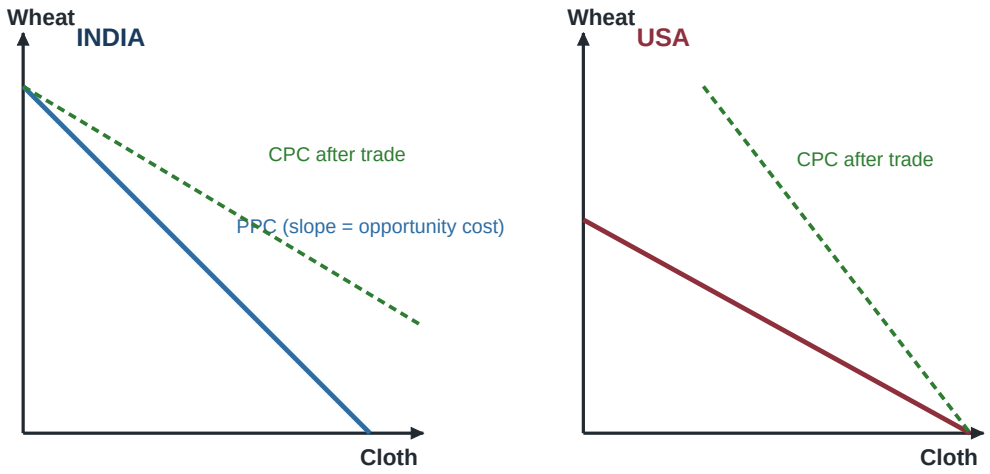
Wealth of Nations me Smith ne kaha: har desh wahi goods produce kare jisme uski **absolute cost advantage** ho (kam labour me zyada output), aur baki imports kare. Division of labour ka international extension. **Limitation:** agar ek desh dono goods me efficient ho to trade kyun hoga? Iska jawab Ricardo ne diya.

1.2 David Ricardo — Comparative Advantage / तुलनात्मक लागत सिद्धांत (1817)

Principles of Political Economy me Ricardo ne dikhaya ki trade ke liye absolute nahi, **comparative advantage** kaafi hai — desh us good me specialise kare jisme uski **opportunity cost relatively kam** ho. Famous example (labour-hours per unit):

Country	Wine (labour-hrs)	Cloth (labour-hrs)	Opportunity cost of 1 Wine
Portugal	80	90	80/90 = 0.89 cloth
England	120	100	120/100 = 1.20 cloth

Portugal dono me absolutely superior hai, phir bhi **Portugal wine** me specialise kare (0.89 < 1.20) aur **England cloth** me (100/120 = 0.83 < 90/80 = 1.125). Dono trade se gain karenge agar exchange ratio dono ki domestic ratios ke beech ho (0.89 cloth < 1 wine < 1.20 cloth).



Trade ke baad dono countries apne PPC se bahar (gains from trade)

Fig 1: Comparative advantage — trade ke baad consumption possibility PPC ke bahar

Assumptions of Ricardian Model

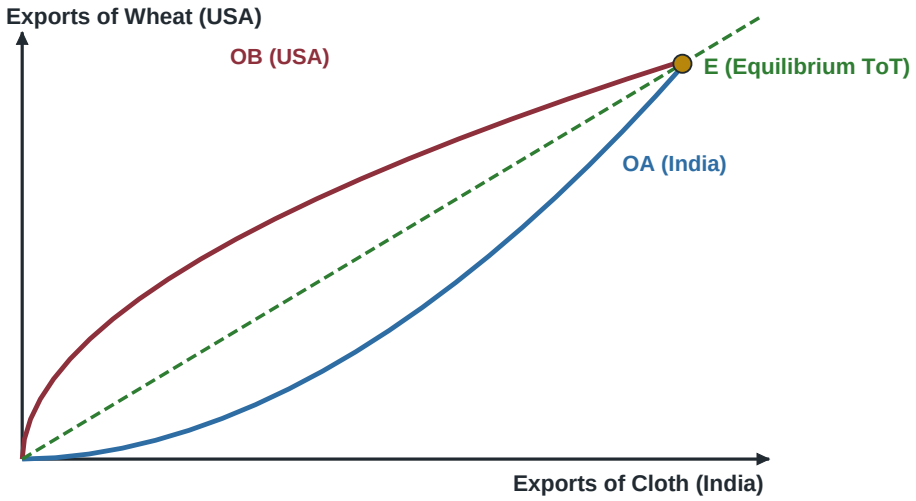
- 2 countries × 2 goods × 1 factor (labour) — **2×2×1 model**; Labour Theory of Value par based.
- Constant returns, full employment, perfect competition, no transport cost, factors internally mobile par internationally immobile.
- **Criticism:** one-factor unrealistic, demand side ignore (ToT kaise decide hogi Mill ne bataya), complete specialisation hamesha nahi hoti.

1.3 Haberler — Opportunity Cost Theory (1936)

Haberler ne labour theory of value ko replace kiya **opportunity cost** se: PPC ki slope (Marginal Rate of Transformation) hi comparative advantage decide karti hai. Isse Ricardo ka model multi-factor world me bhi valid ho gaya — isiliye ise **'restatement of comparative advantage in modern terms'** kehte hain.

1.4 J.S. Mill — Reciprocal Demand & Terms of Trade

Ricardo ne bataya trade *kyu* hogi, Mill ne bataya *kis ratio par* hogi. **Reciprocal demand** = ek desh ki doosre ke goods ke liye demand intensity. Equilibrium ToT wahan jahan dono ki offer (export supply = import demand) barabar ho — graphically **Marshall–Edgeworth offer curves** se dikhate hain.



Marshall–Edgeworth Offer Curves: jahan dono curves milti hain wahi Terms of Trade

Fig 2: Offer curves — intersection E par equilibrium Terms of Trade

1.5 Heckscher–Ohlin Theory / साधन-बाहुल्य सिद्धांत (Modern Theory)

Eli Heckscher (1919) & Bertil Ohlin (1933): comparative advantage ki *wajah* hai **factor endowments me difference**. **H-O theorem:** labour-abundant desh labour-intensive goods export karega, capital-abundant desh capital-intensive goods. 2×2×2 model (2 countries, 2 goods, 2 factors). Iske 4 famous corollaries:

Theorem	Statement (short)
H-O Theorem	Factor abundance → export pattern decide karta hai
Factor Price Equalisation (Samuelson)	Free trade se w aur r देशों me equalise hote hain (factor movement ke bina bhi)
Stolper–Samuelson	Kisi good ki price badhne se uske intensive factor ka real return badhta hai
Rybczynski	Ek factor ki supply badhe to us factor-intensive good ka output badhta hai, doosre ka girta hai

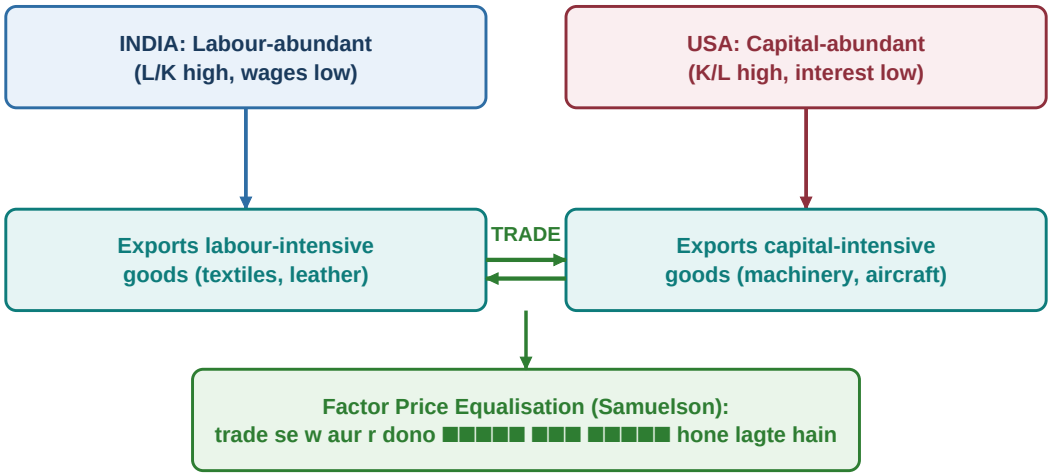


Fig 3: H-O model — endowment■ se trade pattern aur factor price equalisation

1.6 Empirical Verification — Leontief Paradox & beyond

Wassily Leontief (1953) ne input-output analysis se US data (1947) test kiya: expectation thi ki capital-abundant US capital-intensive exports karega, par mila ulta — **US exports labour-intensive aur imports capital-intensive the**. Yahi **Leontief Paradox** hai — H-O ka sabse famous empirical challenge.

Paradox ke Explanations (exam favourite)

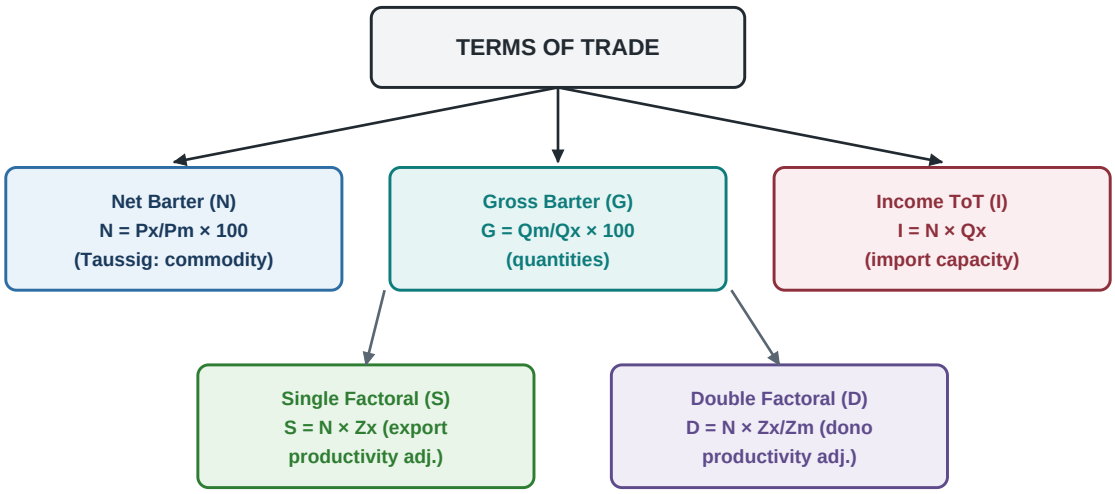
- **Human capital:** US labour skilled tha — skilled labour ko capital me count karo to paradox resolve (Kenen, Keesing).
- **Factor-intensity reversal** aur **demand bias** (US me capital goods ki home demand high).
- **Natural resources** ignore kiye gaye the (Vanek); trade barriers ka distortion (Travis).
- Baad ke tests (Leamer 1980, Bowen-Leamer-Sveikauskas 1987) ne dikhaya ki sahi comparison me paradox weak ho jata hai.

Relevance & New Trade Theories

Aaj ke world trade ka bada hissa **intra-industry trade** hai (similar देशों ke beech similar goods) — ise classical theories explain nahi karti. Isliye naye theories aaye: **Linder hypothesis** (similar demand structures trade karte hain), **Vernon ka Product Life Cycle** (new product → maturing → standardised stages me production location shift hota hai), **Krugman ki New Trade Theory** (economies of scale + product differentiation + monopolistic competition; Nobel 2008), aur **Melitz ka firm-heterogeneity model** (sirf productive firms hi export karti hain). Gravity model empirically sabse successful: trade ∝ GDP×GDP / distance.

1.7 Terms of Trade / व्यापार की शर्तें — Concepts & Types

ToT batata hai ki ek unit export ke badle kitna import milta hai. **Improvement** (index 100 se upar) = same exports se zyada imports. Viner-Dorrance ne kai concepts diye:



Viner & Dorrance ke classifications

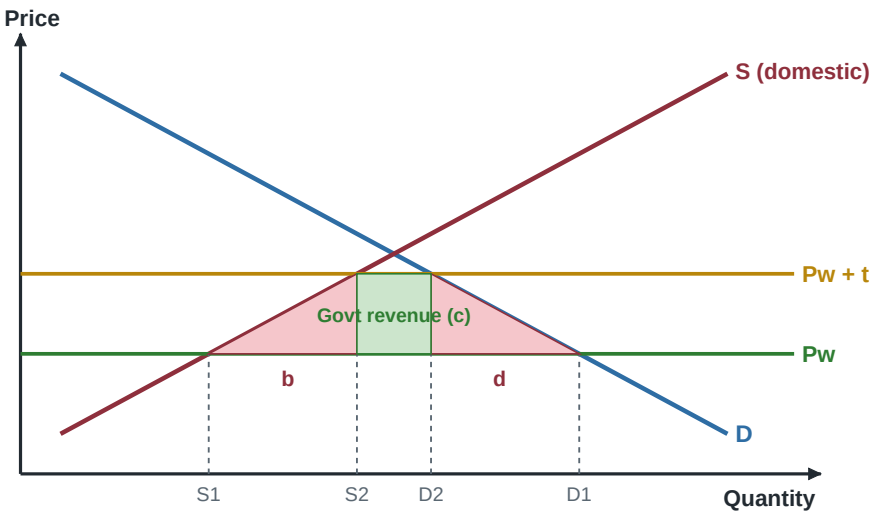
Fig 4: Terms of Trade ke pramukh concepts

Net Barter ToT: $N = (P_x / P_m) \times 100$ | Income ToT: $I = N \times Q_x$ | Gross Barter: $G = (Q_m / Q_x) \times 100$

Numerical: Base year me Px = Pm = 100. Current year me Px = 120, Pm = 150 → N = (120/150)×100 = **80** → ToT 20% deteriorate hui (har export unit ab 20% kam import kharid sakti hai). Agar export volume index 150 ho jaye to Income ToT = 80×150/100 = **120** → import capacity phir bhi badhi. **Determinants:** reciprocal demand, elasticity of demand/supply, tariff, devaluation, economic growth ka pattern.

1.8 Tariff / प्रशुल्क

Tariff = imports par tax. **Types:** specific (per unit), ad-valorem (% of value), compound; revenue vs protective; scientific tariff, retaliatory tariff. Effects ko partial-equilibrium diagram se dikhate hain:



Tariff: production effect (b) + consumption effect (d) = deadweight loss

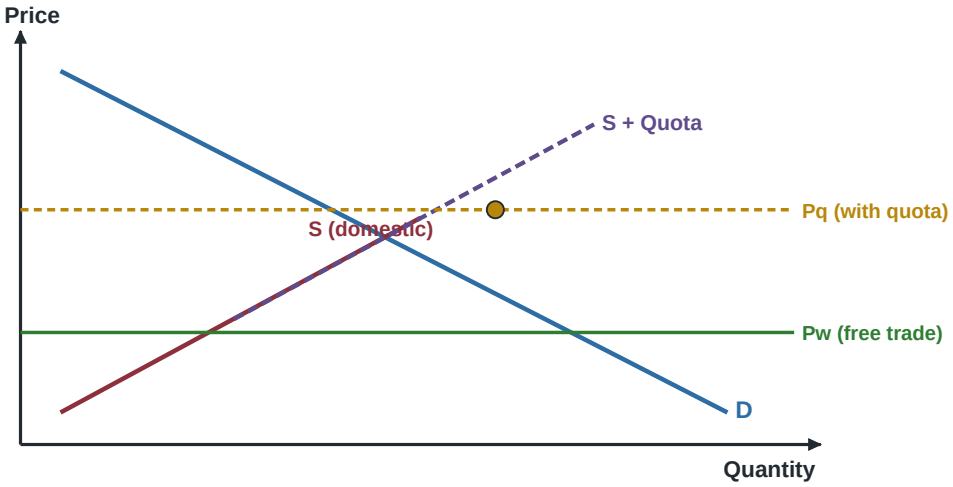
Fig 5: Tariff ke effects — protective, consumption, revenue & redistribution effects

Effect	Kya hota hai
Protective/Production effect	Domestic output S1→S2 badhta hai (inefficient producers protected) — area b ki DWL
Consumption effect	Consumption D1→D2 girta hai — area d ki deadweight loss
Revenue effect	Govt ko tariff revenue = t × imports (area c)
Redistribution effect	Consumer surplus producers ki taraf shift (area a)
ToT effect (large country)	Bada importer tariff lagaye to world price gira sakta hai → ToT improve; isi se 'optimum tariff' concept

Effective Rate of Protection (ERP) = value-added par protection: ERP = (V′ – V)/V, jahan V free-trade value added aur V′ tariff ke baad. Nominal tariff input par kam aur output par zyada ho to ERP nominal se bahut zyada hota hai.

1.9 Quota / अभ्यंश

Quota = import ki **quantity par direct limit**. Types: global quota, bilateral quota, tariff-rate quota (TRQ), mixing quota. Tariff vs quota ka classic comparison (Bhagwati): competitive market me dono **equivalent**, par monopoly/uncertainty me quota zyada restrictive — quota me revenue govt ko nahi, **quota-rent licence holders** ko jata hai; transparency kam, lobbying zyada.

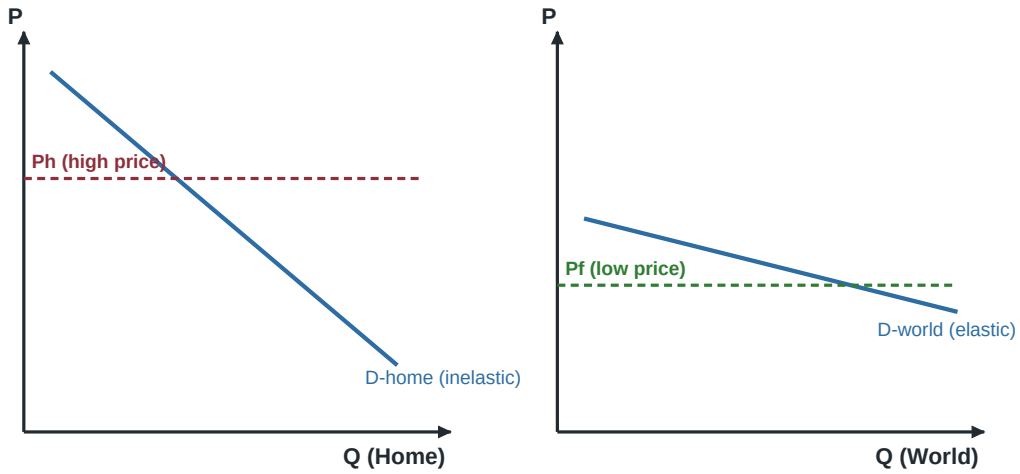


Quota: import ki quantity fix → domestic price Pw se upar; quota-rent importers ko

Fig 6: Quota — supply curve quota ke baad shift, price Pw se Pq par

1.10 Dumping / राशपिातन

Dumping = foreign market me apne domestic price (ya cost) se **kam price par bechna** — international price discrimination. Viner ke types: **sporadic** (surplus disposal), **predatory** (rivals ko khatam karke phir price badhana — sabse harmful), **persistent** (permanent, alag elasticities ke karan). Conditions: markets separated hon, home demand kam elastic ho, monopoly power ho. **Anti-dumping duty** WTO (GATT Article VI) ke under allowed hai agar dumping margin aur domestic injury prove ho — India me DGTR (Directorate General of Trade Remedies) investigate karta hai.



Dumping = MR(home) = MR(world) = MC par alag-alag price; Ph > Pf

Fig 7: Persistent dumping — inelastic home market me Ph, elastic world market me Pf (Ph > Pf)

KEY TERMS / परिभाषाएँ	
Autarky	No-trade self-sufficient economy / आत्मनिर्भर बंद अर्थव्यवस्था
Free trade	Bina tariff-quota ke trade
Optimum tariff	Large country ka woh tariff jo ToT-gain aur volume-loss ko balance kare
NTBs	Non-tariff barriers: quotas, licensing, standards, VERs
Counter-vailing duty	Foreign subsidy ko offset karne wali duty (CVD)

SECTION 2 — Balance of Payments / भुगतान संतुलन

2.1 Definition, Types & Importance

BoP = ek desh ke residents aur baki duniya ke beech ek period (usually 1 year) ke sabhi economic transactions ka systematic record — double-entry book-keeping par based (har credit ke saamne debit). Kindleberger: 'BoP is a systematic record of all economic transactions between residents of a country and the rest of the world.'

Concept	Meaning
Balance of Trade (BoT)	Sirf visible goods ka export – import; India ka FY26 merchandise deficit ~$333 bn
BoP — Accounting sense	Hamesha balanced (double entry): CA + KA + E&O; + ΔReserves = 0
BoP — Economic sense	Autonomous transactions ka balance — surplus/deficit ho sakta hai
Autonomous vs Accommodating	Autonomous = profit/motive-driven ('above the line'); Accommodating = gap bharne ke liye (reserves, 'below the line')

Importance: economy ki external health ka mirror; exchange-rate policy, monetary-fiscal policy, trade policy aur IMF borrowing decisions iske data par bante hain; structural weaknesses (jaise oil-dependence) reveal karta hai.

2.2 Structure — Current & Capital Account

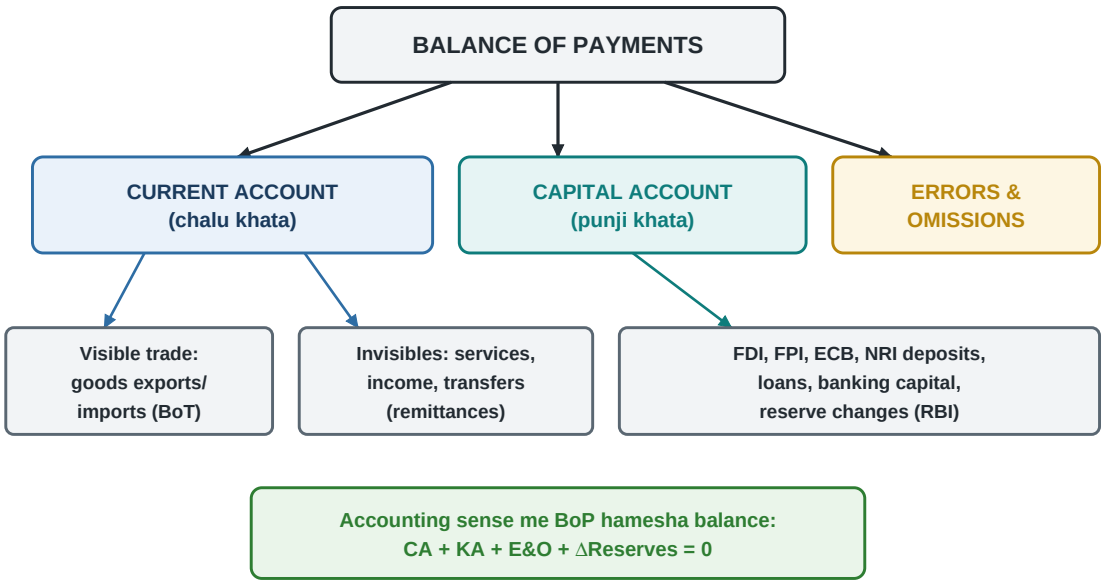


Fig 8: BoP ka structure — current account, capital account, E&O; aur reserves

Current Account (चालू खाता): (i) visible trade (goods), (ii) invisibles — services (software, travel, transport), primary income (interest, dividends, compensation) aur secondary income (remittances, gifts, grants). India services-surplus country hai — FY 2025-26 me services surplus ~$214 bn ne goods deficit ko kaafi offset kiya. **Capital/Financial Account (पूँजी खाता):** FDI, FPI, ECBs, NRI deposits, banking capital, govt loans, IMF transactions, aur RBI ke reserve changes. **Note (IMF BPM6):** ab 'financial account' alag dikhaya jata hai; India me popularly sab 'capital account' kehte hain.

India BoP snapshot — FY 2025-26 (latest, exam-ready)

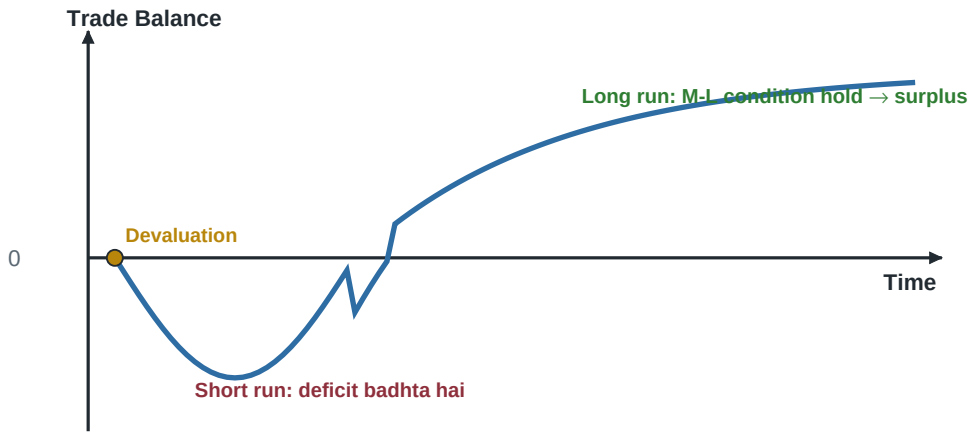
- Total exports (goods + services): **~$860 bn**; total imports: **~$979 bn**; overall trade deficit ~$119 bn.
- Merchandise: exports ~$442 bn, imports ~$775-776 bn → record deficit **~$333 bn**; services exports **~$418 bn** (surplus ~$214 bn).
- USA top trading partner (exports ~$87 bn); electronics exports ~$48 bn — fastest riser; gold imports ~$72 bn.
- Forex reserves (RBI, end-May 2026): **~$682 bn** — world ke top-4 me; CAD historically GDP ke ~1-2% range me manageable.

2.3 Disequilibrium — Causes & Correction / असंतुलन के कारण व उपाय

Types of disequilibrium: cyclical (trade cycles se), secular (long-run development needs), structural (demand/technology shifts), temporary (crop failure, war), aur fundamental disequilibrium (IMF term — persistent, jiske liye par-value change allowed tha).

Correction route	Instruments
Automatic (price-specie-flow, Hume)	Gold standard me deficit → gold outflow → prices girte → exports competitive
Monetary measures	Deflation (dear money), devaluation / depreciation, exchange control
Trade measures	Export promotion (subsidies, SEZs), import restriction (tariff, quota)
Expenditure-switching vs reducing	Switching = devaluation/tariff (demand ko ghar ki taraf modo); Reducing = tight fiscal-monetary policy
Capital account	FDI/FPI attract karna, ECB, NRI schemes, IMF facilities

Devaluation kab successful? Jab **Marshall–Lerner condition** satisfy ho: export aur import demand ki elasticities ka sum 1 se zyada ($|e_x| + |e_m| > 1$). Short run me elasticities low hoti hain isliye trade balance pehle bigadta hai, phir sudhrata hai — **J-curve effect**:



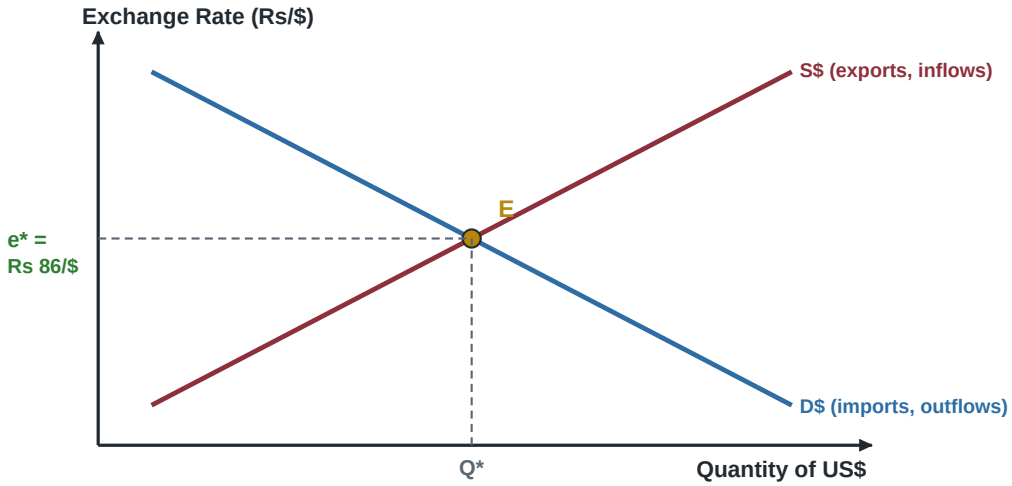
J-Curve: depreciation ke baad pehle trade balance bigadta hai, phir sudharta hai

Fig 9: J-Curve — devaluation ke baad pehle deterioration, phir improvement

SECTION 3 — Foreign Exchange Rate, Trading & Multiplier / वदिेशी वनिमिय दर

3.1 Theories of Exchange Rate Determination

Theory	Core idea	Comment
Mint Parity Theory	Gold standard era: rate = दोनों currencies ke gold content ka ratio; gold points ke beech fluctuate	Ab historical relevance only
Purchasing Power Parity (Cassel, 1918)	Rate = दोनों देशों ki price levels ka ratio; Absolute: e = P/P*, Relative: $\Delta e = \pi - \pi^*$	Long-run anchor; Big Mac Index isi par; short run me fail (capital flows)
BoP / Demand-Supply Theory	Rate forex ki demand-supply se decide — imports/outflows demand, exports/inflows supply	Flexible-rate world ki standard theory
Monetary Approach	Rate = relative money supplies, incomes aur interest rates ka outcome	Frenkel, Mussa; PPP + QTM ka blend
Portfolio Balance Approach	Domestic-foreign bonds imperfect substitutes; wealth allocation rate decide karta hai	Branson; risk premium ko include karta hai
Interest Rate Parity	Forward premium = interest differential (covered IRP): F/S = (1+i)/(1+i*)	Arbitrage-based; forex pricing ka backbone



Flexible rate: $ ki demand-supply se rate; D badhe → Rs depreciation

*Fig 10: BoP theory — dollar ki demand-supply se equilibrium rate e**

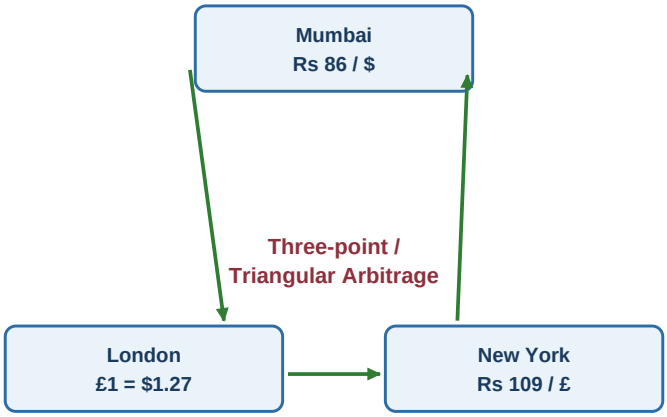
PPP numerical: Ek basket India me Rs 8,600 ki, US me $100 ki → PPP rate = 8600/100 = **Rs 86/$**. Agar India inflation 6% aur US 2% ho to relative PPP ke हसिाब se rupee ~4% depreciate hoga (Rs 86 → ~Rs 89.4).

3.2 Exchange Trading — Spot, Forward & Market Hedging

Spot market me settlement T+2; **forward market** me aaj rate fix, delivery future date par. Forward rate premium/discount: agar 3-month forward Rs 87 aur spot Rs 86 → dollar **premium** par = (87–86)/86 × 12/3 × 100 = **4.65% p.a.** Participants: exporters-importers (hedgers), banks (market makers), arbitrageurs, speculators (bulls/bears).

Hedging / Arbitrage / Speculation — 3-way compare

- **Hedging:** exchange-risk ko khatam karna — forward contract, futures, options, money-market hedge. Importer 3-month baad $1mn dena hai → forward buy karke rate lock.
- **Arbitrage:** riskless profit from price differences — two-point (do markets) ya three-point/triangular (teen currencies). Yeh rates ko equalise karta hai (Law of One Price).
- **Speculation:** jaan-boojh kar risk lena — future rate ki expectation par positions. Friedman: stabilising; Nurkse: destabilising ho sakti hai.



Rate-differences ko exploit karke riskless profit → arbitrage rates ko equal kar deta hai

Fig 11: Triangular arbitrage — Rs→£→$→Rs cycle me rate-mismatch ka profit

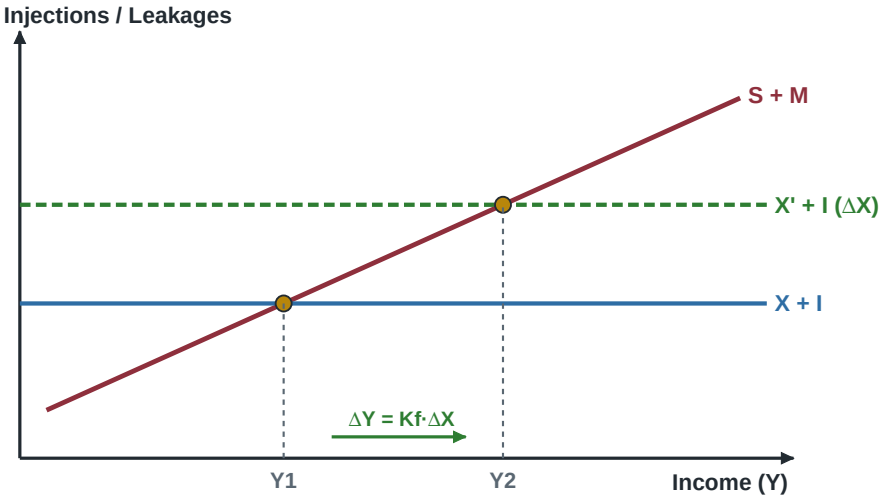
Arbitrage numerical: Mumbai: Rs 86/$; NY: Rs 109/£; London: £1 = $1.27. Cross-rate check: 86 × 1.27 = Rs 109.22/£ > quoted Rs 109 → £ London route se sasta hai. Rs 10.9 lakh se £10,000 kharido (NY rate), unhe $12,700 me convert karo, phir Rs me: 12,700 × 86 = Rs 10,92,200 → **riskless profit Rs 2,200** per cycle (costs ignore). Aisi trading se hi rates align ho jate hain.

3.3 Foreign Trade Multiplier / वदिशी व्यापार गुणक

Open economy me exports ek **injection** hain (jaise investment) aur imports ek **leakage** (jaise saving). Equilibrium: S + M = I + X. Exports badhne par income multiple badhti hai:

$$K_f = 1 / (MPS + MPM) = 1 / (s + m) \qquad \Delta Y = K_f \times \Delta X$$

Numerical: s = 0.2, m = 0.3 → K_f = 1/0.5 = **2**. ΔX = Rs 100 crore → ΔY = Rs 200 crore. Closed-economy multiplier 1/0.2 = 5 hota; imports ki leakage ne use chhota kar diya. **Foreign repercussion effect:** bade desh ka import-increase partner ki income badhata hai jo wapas humse aur import karta hai — multiplier thoda bada ho jata hai.

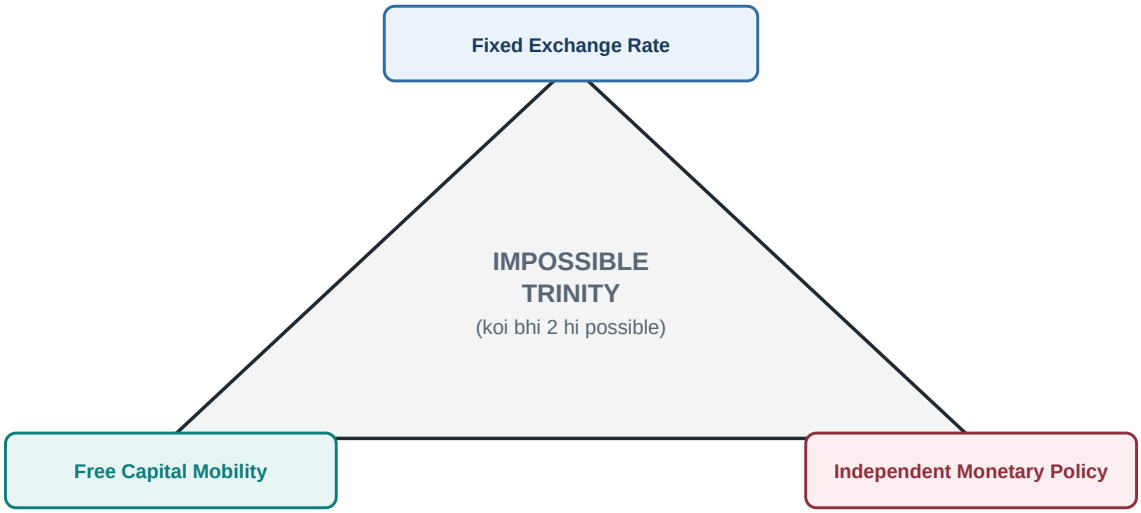


Foreign Trade Multiplier: Kf = 1/(s+m); exports badhne se income multiple badhti hai

Fig 12: Foreign trade multiplier — X badhne se equilibrium income Y1 se Y2

3.4 Exchange-Rate Regimes & the Trilemma

Fixed (peg), floating (clean/dirty), managed float, crawling peg, currency board, dollarisation — spectrum hai. India 1993 se **managed float** par hai. Policy-choice ki fundamental constraint:



Mundell-Fleming Trilemma: teeno ek saath nahi mil sakte

Fig 13: Impossible Trinity — fixed rate, open capital account, independent monetary policy me se koi 2 hi

SECTION 4 — Foreign Trade Reforms, Liberalisation & Capital Movement

4.1 India ke Foreign Trade Reforms (1991 →)

1991 ke BoP crisis (reserves sirf ~$1.1 bn, 2-3 हफ्तों ke imports ke barabar; gold pledge karna pada) ke baad trade regime ko license-quota raj se market-oriented banaya gaya:

Reform	Detail
Devaluation, July 1991	Rupee ~18-19% devalue (do kisto me) — exports ko competitive banaya
LERMS 1992 → Unified rate 1993	Dual exchange rate (60:40) se hote hue market-determined unified rate
Current account convertibility	August 1994 — IMF Article VIII obligations accept
Capital account convertibility	Gradual: Tarapore Committee I (1997) & II (2006) ne roadmap diya; abhi bhi partial/calibrated
Trade policy	Import licensing खत्म, peak tariffs ~150% (1991) se ~10% range tak; QRs 2001 tak phased out
Export promotion	EPZs → SEZ Act 2005; EPCG, Advance Authorisation, RoDTEP/RoSCTL; districts as export hubs
FTP 2023	Foreign Trade Policy 2023 — open-ended (no sunset), $2 trillion exports by 2030 target, e-commerce hubs, rupee-trade settlement push
Institutional	DGFT facilitation, GIFT-IFSC, INR Vostro accounts (2022→) for rupee invoicing

EXAM TIP — Liberalisation logic

- Inward-looking ISI (import substitution) → outward-looking export-led strategy ka shift hi 'liberalisation' ka core hai.
- Average applied tariff ab ~15-17% (agri zyada, non-agri ~9-10%); WTO bound rates se kaafi neeche.
- FY26 data ke saath link karo: services-led exports ($418 bn) liberalised regime ki success story hai.

4.2 International Capital Movement / अंतर्राष्ट्रीय पूँजी प्रवाह

Types: (i) **FDI** — lasting interest + management control (10%+ equity); greenfield vs brownfield/M&A; horizontal vs vertical. (ii) **FPI** — shares/bonds me portfolio investment, control nahi; 'hot money' — volatile. (iii) **ECBs**, trade credit, NRI deposits, official flows (aid, multilateral loans). **Determinants:** interest differentials, growth prospects, risk (political/exchange), policy regime (FDI caps, taxation), global liquidity (US Fed cycle → EM flows).

Effects on host country: + capital formation, technology & skill transfer, jobs, exports, BoP support; – profit repatriation, crowding-out of local firms, volatility (sudden stops — 2008, 2013 taper tantrum), sovereignty concerns. **MacDougall–Kemp model:** capital mobility se world output badhta hai aur dono देशों ko gain hota hai (host ko labour-share gain, source ko higher return).

KEY TERMS / परिभाषाएँ

Hot money	Short-term speculative flows jo turant exit kar sakte hain (FPI)
Sudden stop	Capital inflows ka abrupt reversal — currency crisis trigger
Tobin tax	Currency transactions par chhota tax — speculation rokne ka proposal
FEMA 1999	FERA ko replace kiya — control se management approach
Tarapore Committees	Capital account convertibility ke roadmap (1997, 2006) — fiscal deficit, inflation, NPA preconditions

SECTION 5 — Trade & Development: Two-Gap, Prebisch-Singer, Myrdal; G-20, IBRD, WTO,

5.1 Importance of International Trade for Developing Countries

Trade ko **'engine of growth'** kaha (D.H. Robertson; classical view — Smith ka 'vent for surplus' bhi). Static gains: comparative-advantage specialisation, bada market, economies of scale, competition se efficiency, consumer choice. Dynamic gains: technology transfer, capital-goods imports, FDI linkages, learning-by-exporting, institutional upgrade. **Haberler (1959):** trade ne 19th century growth transmit ki; **par critics** (Prebisch, Singer, Myrdal) bole — LDCs ke liye engine hamesha nahi chala.

5.2 Two-Gap Analysis (Chenery & Strout, 1966)

Developing economy ki growth do constraints se band sakti hai: **savings gap** (I – S: investment ke liye saving kam) aur **foreign-exchange gap** (M – X: zaruri capital-goods imports ke liye forex kam). Ex-post dono equal hote hain, par ex-ante jo gap **bada (binding)** ho wahi growth ko limit karta hai. **Policy:** foreign aid/capital inflow dono gaps ko ek saath bharta hai; isi framework se aid-requirement estimates bante the. **Criticism:** gaps independent maan'na unrealistic; aid saving ko displace kar sakti hai (Griffin); exchange-rate flexibility se FX gap soft ho jata hai.

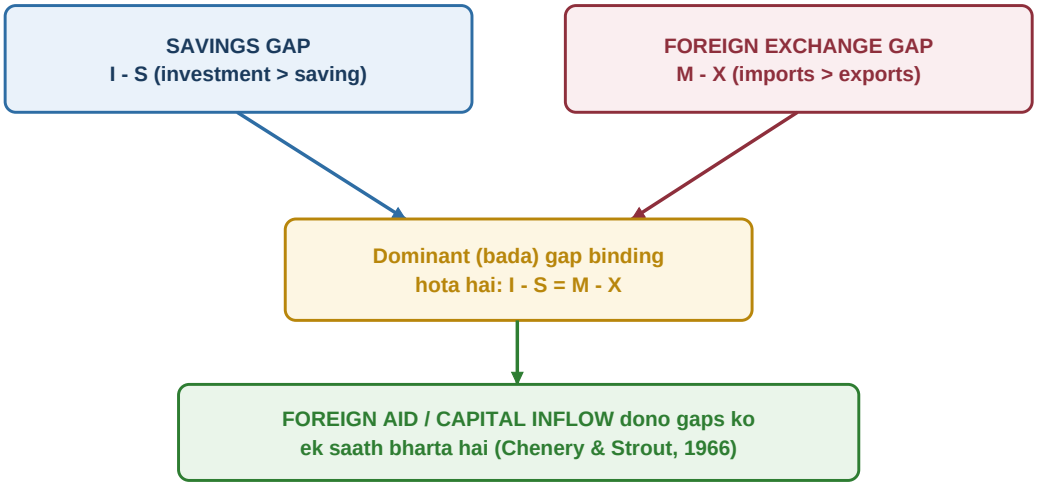
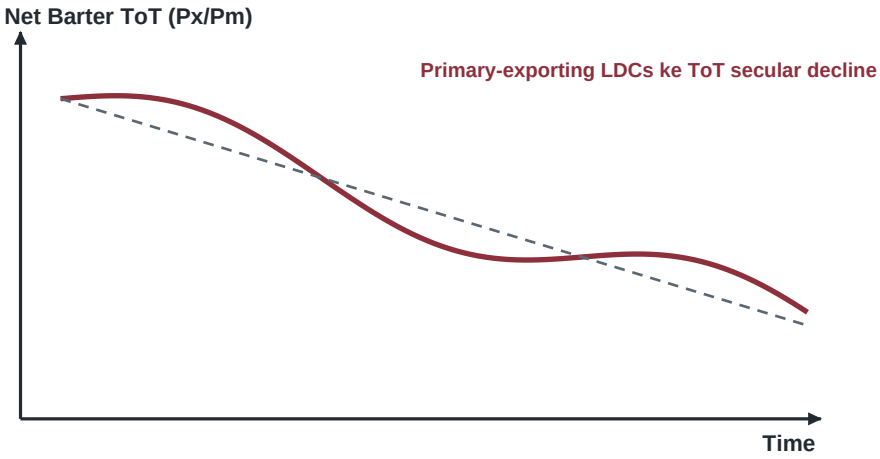


Fig 14: Two-gap model — dominant gap binding; aid dono ko bharti hai

5.3 Prebisch–Singer Hypothesis (1950)

Raul Prebisch (ECLA) aur Hans Singer ne independently dikhaya: **primary-commodity exporters ki Net Barter ToT secular decline** karti hai manufactures ke मुकाबले. **Reasons:** (i) **Engel's Law** — income badhne par food ki demand-share girti hai (income elasticity < 1), (ii) manufactures me productivity-gains higher wages me jaate hain (unions/oligopoly), par primary me lower prices me pass ho jaate hain, (iii) synthetics ne raw materials ko replace kiya, (iv) technical progress raw-material saving hai. **Policy conclusion:** import-substituting industrialisation (ISI), commodity agreements, UNCTAD ki demand (Prebisch iske pehle SG the).



Prebisch-Singer Hypothesis: primary goods vs manufactures — ToT girti jaati hai

Fig 15: Prebisch-Singer — LDC ToT ka long-run declining trend

5.4 Myrdal — Backwash & Spread Effects (1956-57)

Gunnar Myrdal (*Economic Theory and Under-developed Regions*): free trade aur factor flows **circular cumulative causation** ke through inequality *badha* sakte hain. **Backwash effects:** trade se LDCs ki traditional industries मरती hain, skilled labour-capital rich regions ki taraf migrate karte hain → poor aur peeche. **Spread effects:** growth-centres se demand, technology ka positive फैलाव — par LDCs me backwash > spread. Isliye state intervention aur planning zaruri. Myrdal + Prebisch + Singer = 'trade pessimists'; inke ■■■■■■ Haberler, Krueger, Bhagwati 'trade optimists'.

Gains from Trade of Developing Countries — balanced exam answer

- **Pro:** East Asia (Korea, Taiwan, China) aur post-1991 India export-led growth ke proof; global value chains me participation se jobs.
- **Anti:** commodity-dependence wale Africa/Latin America ToT-shocks jhelte hain; fallacy of composition (sab ek saath export badhayein to prices girti hain).
- **Synthesis:** gains policy par depend — diversification, value-addition, S&D; treatment, aur macro stability ke saath trade fayda deta hai.

5.5 G-20, IBRD, WTO & IMF — Role in Development

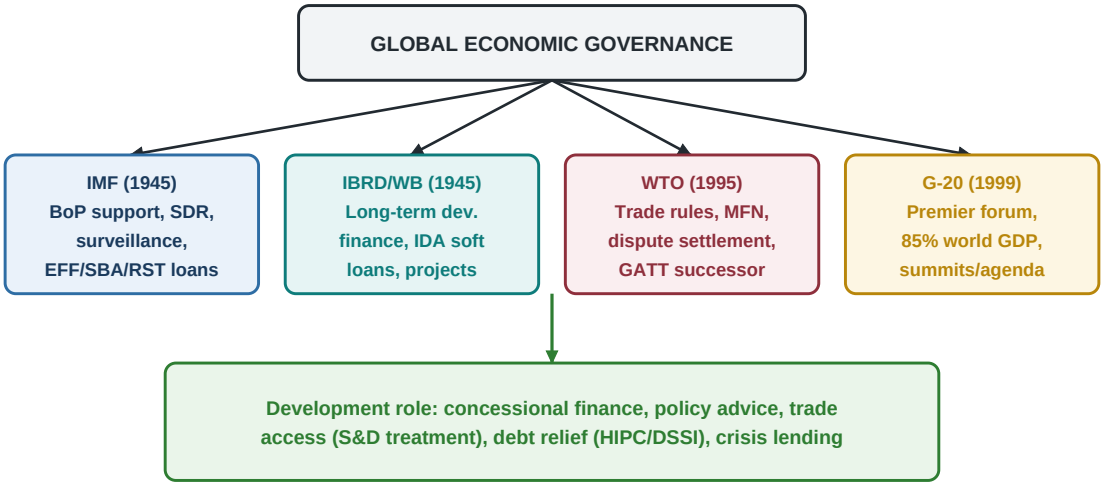


Fig 16: Global economic institutions aur unka development role

Institution	Key facts & development role
IMF (1944 Bretton Woods; 191 members)	BoP crises me lending (SBA, EFF, RST, RFI), SDR allocations ($650 bn — 2021), surveillance (Article IV), capacity development. MD: Kristalina Georgieva. India quota ~2.75%, 8th largest.
IBRD / World Bank Group	Long-term development finance; IDA = soft-loan window for poorest; IFC (private), MIGA (guarantees), ICSID. President: Ajay Banga. India IBRD ka sabse bada cumulative borrower rahe hain.
WTO (1995; GATT 1947 successor; 166 members)	Rule-based trading system: MFN + National Treatment, tariff bindings, dispute settlement (DSB), TRIPS-TRIMS-GATS; S&D; provisions for developing; Doha Development Agenda; DG: Ngozi Okonjo-Iweala. (Appellate Body crisis — judges ki appointment blocked.)
G-20 (1999; leaders-level 2008)	Premier forum for international economic cooperation — ~85% world GDP, 75% trade. African Union 2023 me permanent member (India ki presidency, New Delhi Declaration). 2025 presidency South Africa; 2026 USA. DSSI/Common Framework debt-relief isi se nikla.

QUICK REVISION ANCHORS — एक नज़र में

Item	One-liner
Ricardo 1817	Comparative cost — Portugal-England wine-cloth
Mill	Reciprocal demand → ToT; offer curves (Marshall-Edgeworth)
H-O	Factor endowments; FPE (Samuelson), Stolper-Samuelson, Rybczynski
Leontief 1953	Paradox — US exports labour-intensive nikle
Krugman	New Trade Theory — scale economies + differentiation (Nobel 2008)
N / G / I ToT	Px/Pm×100 | Qm/Qx×100 | N×Qx
Tariff DWL	Production (b) + consumption (d) triangles
Quota vs tariff	Quota-rent vs revenue; Bhagwati non-equivalence under monopoly
Dumping types	Sporadic, predatory, persistent (Viner); GATT Art. VI
BoP identity	CA + KA + E&O; + ΔR = 0; autonomous vs accommodating
Marshall-Lerner	|ex| + |em| > 1 → devaluation works; J-curve short-run
PPP (Cassel)	e = P/P*; relative: Δe = π – π*
Kf	1/(s+m); s=0.2, m=0.3 → Kf=2
Trilemma	Fixed rate + open capital + independent MP — only 2
Two-gap	Chenery-Strout 1966; binding gap; aid fills both
Prebisch-Singer 1950	Primary exporters ki ToT secular decline; Engel + asymmetric markets
Myrdal	Backwash > spread in LDCs; cumulative causation
FY26 data	Exports $860 bn (serv. $418 bn), imports $979 bn, merch. deficit $333 bn, forex $682 bn